Steel

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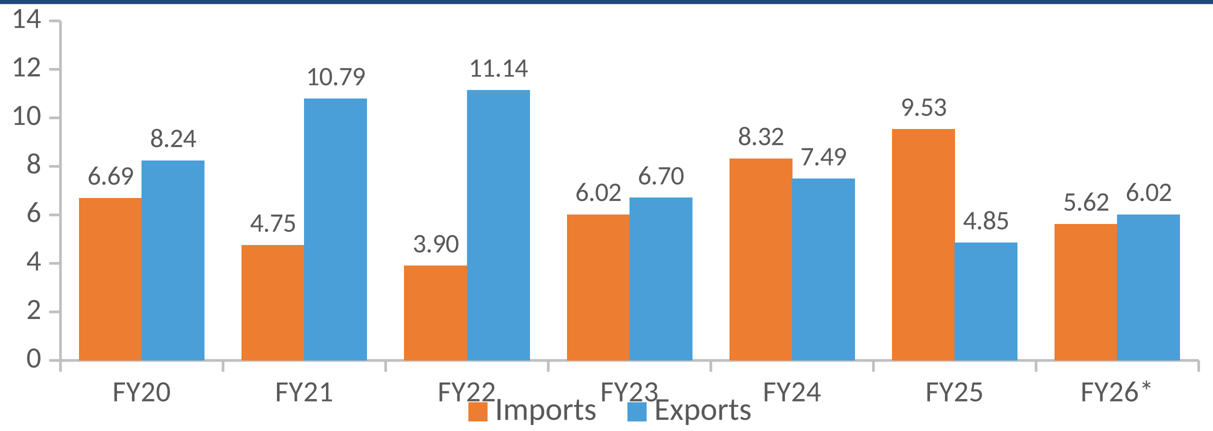
Industry Size

- Crude steel output 153.6 MT; finished steel 146.8 MT in FY26 (Apr–Feb)
- Installed capacity 218.29 MT in FY26 (P), from 200.33 MT in FY25
- Finished steel consumption 147.7 MT in FY26 (Apr–Feb) World's 2nd-largest crude steel producer
- Metallurgical FDI US$ 19.14 bn, Apr 2000–Dec 2025

(source)

Indian Steel Market:
US$ 150.5Bn
FY2025-26
(source)

Industry Growth



Finished steel export and import (in million tonnes)

- Crude steel grew from 89.79 MT (FY16) to 153.6 MT in FY26 (Apr–Feb); finished steel from 106.60 MT to 146.8
- Capacity target of 300 MT by FY30 implies ~Rs. 10 lakh crore (US$ 156.08 bn) of additional investment by 2030-31
- Demand expected to grow ~9% in FY26 on infrastructure, construction and industrial activity
- India regained net-exporter status in FY26: exports +~33%, imports −22% YoY

*Source: Ministry of Steel | *April'2025–February 2026*

Key players

Integrated producers

- Tata Steel — FY26 India crude steel 23.4 MT; consolidated revenue Rs. 2,32,140 cr *Tata Steel Q4 FY26*
- JSW Steel — FY26 sales 30 MT; revenue Rs. 1,85,470 cr; targeting 62 MT by FY32 *JSW Q4 FY26*
- SAIL — crude steel 176.18 LMT in FY26 (Apr–Feb), +1.28% YoY; operating capacity ~19.5 MT *[IBEF Steel Feb'26] pp.3, 21*
- Jindal Steel & Power; AM/NS India (ArcelorMittal Nippon) *[IBEF Steel Feb'26] pp.13, 21*

Specialised / downstream

- Jindal Stainless; Welspun (tubes and pipes); Visa Steel (ferro chrome, special steel); RINL Vizag *[IBEF Steel Feb'26] p.13*

Structure

- By form: liquid, crude (ingots, semis) and finished (flat, non-flat) *CCI report on Indian steel*
- By composition: alloy (stainless, silicon electrical, high speed) and non-alloy (low/medium/high carbon) *CCI report*
- By end use: structural, construction and rail steel *CCI report*

(source)

Business Model and Industry Product Mix

Business model — conversion spread

- Producers buy iron ore, coking coal and scrap, convert to crude then finished steel, and earn the spread over input cost
- Route mix in FY26: BOF 43%, induction furnace 38%, electric arc furnace 20%
- BF-BOF expected to hold ~65% of capacity, with EAF and IF at ~35%
- Backward integration into captive iron ore is the main cost lever — India can produce ~700 MT of iron ore a year
- Scale and utilisation drive margin: JSW ran 92% India utilisation in FY26

(source)

Product mix

- Flat products — HR coil/strip, CR coil/sheets, GP/GC sheets; HR coil was the top export category in FY26
- Long products — bars, rods, rebars, wire rod, structurals and rail steel
- Specialty steel — alloy, stainless and electrical steel; PLI 1.2 targets 8.7 MT of added capacity by FY31
- Pipes and tubes for oil and gas; CRGO electrical steel for transformers

End-market mix

- Capital goods ~11% of consumption; infrastructure ~9%, rising to 11% by FY26; automotive ~10%

(source)

Value Chain

1. Raw Material & Mining
- Iron ore, coking coal, limestone, dolomite
- India can produce ~700 MT iron ore p.a.
- Coking coal largely imported — key cost exposure
- 30% export duty on iron ore retains domestic supply

2. Iron Making & Beneficiation
- Blast furnace hot metal; sponge iron via DRI
- Pelletisation and beneficiation plants
- Coal gasification, Hismelt, Finex, ITmk3
- Hydrogen injection trials at Jamshedpur

3. Steel Making (Crude)
- BOF 43% | IF 38% | EAF 20% of FY26 capacity
- Scrap-based EAF route expanding
- Continuous casting into ingots and semis
- Capacity 218.29 MT (FY26 P) → 300 MT by FY30

4. Rolling & Finishing
- Hot and cold rolling; thin slab casters
- Galvanising, colour coating, CRGO lines
- Flat vs non-flat product split
- Specialty steel under the PLI scheme

5. Distribution & End Markets
- Construction, infrastructure, automotive
- Capital goods, railways, oil & gas, power
- Service centres, distributors, stock yards
- Exports — net exporter again in FY26

Porter's 5 Forces

Threat of New Entrants
Low
- Extremely capital intensive — 300 MT capacity build needs ~Rs. 10 lakh crore
- Land, mining leases and environmental clearances take years
- Entry is realistically only via JV with an incumbent, as POSCO and JFE have done

Bargaining Power of Buyers
Medium
- Large OEM and infrastructure buyers negotiate hard on price
- Steel is broadly commoditised, so switching costs are low
- But government tenders favour domestic steel with 15% value addition

Bargaining Power of Suppliers
High
- Coking coal is largely imported and priced globally
- Iron ore concentrated among a few miners; 30% export duty retains supply
- Raw material was ~41% of Tata Steel's Q2 FY26 revenue

Threat of Substitutes
Low
- No practical substitute at scale for construction and infrastructure
- Aluminium and composites compete only at the margin in autos
- Scrap recycling supplements rather than replaces primary steel

Industry Rivalry
High
- Fragmented: large integrated players plus a long tail of IF-route units
- Commodity pricing means competition is on cost per tonne
- Import pressure met with a 12% safeguard duty

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Growth Drivers

- Demand expected to grow ~9% in FY26 on infrastructure, construction and manufacturing *[IBEF Steel Feb'26] p.23*
- Infrastructure to rise from 9% to 11% of steel consumption by FY26; ~70% of planned infrastructure yet to be built *[IBEF Steel Feb'26] p.31*
- Automotive is ~10% of steel demand; production ~206 lakh units in FY26 (to Dec 2025) *[IBEF Steel Feb'26] p.24; SIAM*
- Appliances and electronics US$ 75 bn (2024) → US$ 130–150 bn by 2029 at 12–15% CAGR *[IBEF Steel Feb'26] p.24*
- Per-capita consumption target of 160 kg by FY31 vs 100 kg today; rural to double to 38 kg by 2030-31 *NSP 2017; [IBEF Steel Feb'26] p.11*
- 100% FDI via automatic route; Rs. 443.18 crore allocated to the Ministry of Steel in Union Budget 2026-27 *[IBEF Steel Feb'26] p.5; DPIIT*

Source: IBEF Steel (Feb 2026), Ministry of Steel, SIAM, NSP 2017

Recent Investments/M&A

- Feb 2026 — GoI secured Rs. 11,887–13,203 cr (US$ 1.31–1.46 bn) under PLI 1.2, with 85 MoUs across 55 companies *[IBEF Steel Feb'26] p.17; [Min. of Steel]*
- Jan 2026 — JSW Steel announced Rs. 2 lakh crore to expand capacity ~50% to over 50 MT *[IBEF Steel Feb'26] p.23*
- Aug 2025 — JSW Steel and POSCO signed a Heads of Agreement for a 6 MTPA 50:50 JV, Odisha shortlisted *[IBEF Steel Feb'26] p.17*
- Mar 2025 — AM/NS India secured 890 hectares in Anakapalli, Andhra Pradesh for a ~7 MTPA integrated mill *[IBEF Steel Feb'26] p.21*
- Dec 2025 — Tata Steel board approved 4.80 MTPA expansion at NINL plus a 2.50 MTPA thin slab caster at Meramandali *[IBEF Steel Feb'26] p.21*
- JSW Group committed Rs. 1,00,000 cr for a 25 MT plant in Gadchiroli and Rs. 65,000 cr in Jagatsinghpur, Odisha *[IBEF Steel Feb'26] p.17*
- Largest completed deals: ArcelorMittal–Essar (US$ 5.82 bn), Tata–Bhushan Steel (US$ 5.46 bn), JSW–BPSL (US$ 2.82 bn) *[IBEF Steel Feb'26] p.29*

Source: IBEF Steel (Feb 2026), Ministry of Steel, SIAM, NSP 2017

Emerging Trends

- Green steel — Tata Steel running the world's largest continuous hydrogen injection trial in a blast furnace at Jamshedpur *[IBEF Steel Feb'26] p.19*
- Scrap-based EAF — Tata Steel commissioned a 0.75 MTPA EAF at Ludhiana (Mar 2026) designed for <0.3 tCO2e per tonne *Tata Steel Q4 FY26*
- AI in steel — Ministry of Steel invited AI startups at the India AI Impact Summit, Feb 2026 *[IBEF Steel Feb'26] p.19*
- Specialty steel shift — PLI 1.0 and 1.1 drew over Rs. 43,000 cr; PLI 1.2 offers 4–15% on incremental sales *[IBEF Steel Feb'26] pp.17, 27*
- Import monitoring — SARAL SIMS (Nov 2025) simplified registration for MSMEs under SIMS 2.0 *[IBEF Steel Feb'26] p.28*
- Vehicle Scrappage Policy expected to formalise scrap supply and lower input costs *[IBEF Steel Feb'26] p.19*
- R&D push — Ministry directs at least 1% of sales turnover toward R&D; SRTMI corpus US$ 30.89 mn *[IBEF Steel Feb'26] pp.19, 25*

Source: IBEF Steel (Feb 2026), Ministry of Steel, company disclosures

Key Business Risks

- Coking coal import dependence — raw materials were ~40% of Tata Steel's Q2 FY26 revenue, exposing margins to global prices *Business Standard, Nov 2025*
- Import surge and dumping — DGTR recommended a 12% provisional safeguard; imports were 9.53 MT in FY25 *[IBEF Steel Feb'26] pp.12, 20*
- China overhang — Chinese output fell ~4.6% YoY in Jan–Mar CY26, but export licensing changes keep global supply volatile *JSW Q4 FY26*
- Capital intensity and leverage — Tata Steel net debt Rs. 80,144 cr (2.3x EBITDA); JSW capex guidance Rs. 22–24k cr for FY27 *Company Q4 FY26 disclosures*
- Decarbonisation cost — India leads coal-based capacity additions, raising transition and carbon-border risk *[IBEF Steel Feb'26] p.9; GEM*
- Overseas drag — Tata Steel UK posted an FY26 EBITDA loss of £217 mn *Tata Steel Q4 FY26*
- Demand cyclicality — consumption fell in FY21 and prices track the global cycle *[IBEF Steel Feb'26] p.11*

Source: Company Q4 FY26 results, DGTR, IBEF Steel (Feb 2026)

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Balance Sheet (in crores)

(source)

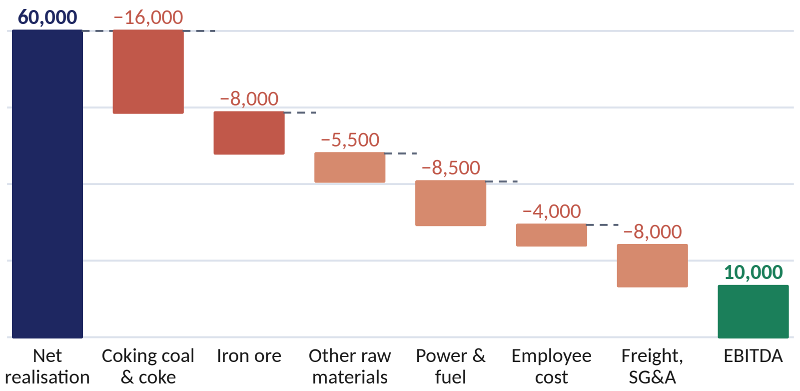
Particulars (TATA Steel)	Mar'26	Mar'25
Liabilities		
Share Capital	1,247.44	1,247.44
Reserves & Surplus	100,920.21	89,922.19
Net Worth	**102,167.65**	**91,169.63**
Secured Loan	84,956.39	88,963.81
Unsecured Loan	0.00	0.00
Total Liabilities	**187,124.04**	**180,133.44**
Assets		
Gross Block	310,316.67	261,862.59
(-) Acc. Depreciation	130,408.54	110,948.53
Net Block	**179,908.13**	**150,914.06**
Capital Work in Progress	28,496.71	41,622.35
Investments	7,088.85	6,194.11
Inventories	47,249.22	44,589.94
Sundry Debtors	4,916.89	5,260.06
Cash and Bank	10,057.53	11,646.98
Loans and Advances	23,536.78	19,167.30
Total Current Assets	**85,760.42**	**80,664.28**
Current Liabilities	100,479.44	89,383.42
Provisions	12,037.83	9,694.79
Total Current Liabilities	**112,517.27**	**99,078.21**
Net Current Assets	**-26,756.85**	**-18,413.93**
Misc. Expenses	0.00	0.00
Total Assets (A+B+C+D+E)	**188,736.84**	**180,316.59**

Income Statement & Valuation (in crores)

(source)

Particulars (TATA Steel)	Mar'26	Mar'25
Income		
Net Sales	232,139.94	218,542.51
Other Income	1,401.78	1,540.63
Total Income	**233,541.72**	**220,083.04**
Expenditure		
Material Consumed	104,046.15	105,979.53
Manufacturing Expenses	14,333.15	13,124.85
Personnel Expenses	25,998.98	24,888.99
Selling & Administrative Expenses	53,409.22	49,250.69
Total Expenditure	**197,787.50**	**193,244.06**
Profitability		
Operating Profit	34,352.44	25,298.45
EBITDA	**35,754.22**	**26,838.98**
(–) Depreciation	11,954.51	10,421.33
EBIT	**23,799.71**	**16,417.65**
(–) Interest	7,167.06	7,340.95
Profit Before Tax	**16,632.65**	**9,076.70**
(–) Taxes	5,082.87	5,239.09
Profit After Tax (before exceptionals)	**11,549.78**	**3,837.61**
Exceptional & Other Adjustments (net)	-755.91	-417.10
Reported PAT	**10,793.87**	**3,420.51**
Key Items		
Equity Dividend	4,489.87	4,489.87
Equity Dividend (%)	359.93	359.93
Shares in Issue (lakhs)	124,718.48	124,718.48
EPS — Annualised (Rs)	**8.65**	**2.74**

Unit Economics



Cost stack is illustrative for a BF-BOF integrated producer at ~Rs 60,000/t net realisation and ~17% EBITDA margin; individual mills vary widely with captive ore, product mix and location. Peer EBITDA/t as reported by companies.

Key Business Risks

- Coking coal price swings — largely imported, and the single biggest input exposure
- Import competition — DGTR recommended a 12% provisional safeguard against the import surge
- Leverage through the capex cycle — Tata Steel at 2.3x net debt/EBITDA while funding Rs. 14,026 cr of annual
- Global oversupply — Chinese production and export policy shifts move world prices
- Decarbonisation capex and carbon-border levies on a coal-heavy asset base Loss-making overseas assets — Tata Steel UK EBITDA loss of £217 mn in FY26 *Tata Steel Q4 FY26*
- Demand cyclicality tied to construction and auto capex